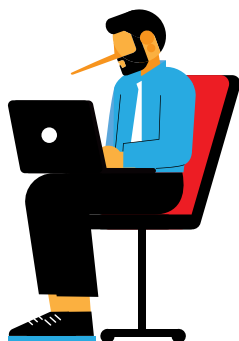


WHO IS RESPONSIBLE?

- 1 Statutory auditors are in a quandary amidst tighter scrutiny from regulators and the large number of problems in Indian companies
- 2 The National Financial Reporting Authority (NFRA) has said that mere resignation does not absolve the auditor of its responsibility to report suspected fraud
- 3 But experts say the board and the management also have a role to play in preventing and detecting frauds within the organisation
- 4 With expectations of better audit quality from auditors, their challenges would also increase
- 5 Overhaul of regulations for auditors is expected in amendments to the Companies Act



“The auditors fluttered anxiously. And, as always happens in their species, when something goes radically wrong and needs fixing instantly, they settled down to try to work out who was to blame.”

These lines from Terry Pratchett’s *Hogfather*, published 27 years ago, may well capture some of the tumult witnessed in India’s auditing profession in recent times. Except it is a double blame game these days, with audited firms hitting back at accountants exiting their mandates.

Statutory auditors, responsible for certifying a company’s financial health, usually carry out their work, including asking inconvenient questions to corporate managements, with a high level of discretion. But the gloves seem to be off now, as they strive to avoid regulatory strictures of the kind the erstwhile auditors of the imploded infrastructure lender IL&FS have been hit with.

Consider these developments: In June, Deloitte, the auditor of Byju’s, resigned noting that there was a “significant impact” on its ability to perform the audit according to necessary standards and that it has “not received any communication on the resolution of the audit report modifications” for 2021-22.

Then in August, One97 Communications, fintech giant Paytm’s parent, informed stock exchanges that Price Waterhouse Chartered Accountants had resigned as the statutory auditor

of its subsidiary Paytm Payments Services due to a change in the auditor of the holding company. Price Waterhouse Chartered Accountants has “not raised any concern or issue”, it asserted.

Around the same time, Adani Ports and SEZ informed the bourses that Deloitte, its statutory auditor since 2017 that was re-appointed in 2022, had resigned. Deloitte is understood to have raised concerns over certain transactions highlighted in the Hindenburg Research report about the group, and its lack of a wider audit remit relating to other listed group companies. The Adani Group firm said its board’s audit committee was of the view that the grounds advanced by Deloitte for resigning were “not convincing or sufficient to warrant such a move”.

The fallout between the auditors and the auditees was not restricted to initial statements, and in the first and the third cases, played out over the next few days.

In any case, there’s not much love lost between the two. By the very nature of their jobs, there’s a certain distance between the auditors and their clients. With a string of high-profile cases of financial irregularities in India—from the Satyam saga that began in 2008 to recent ones like IL&FS and Dewan Housing Finance Corporation Ltd (DHFL) in 2018—that raised questions about auditors, regulatory agencies often have reservations about how they discharge their role and responsibilities.

A Supreme Court decision in May this year to allow the Serious Fraud Investigation Office to resume criminal proceedings against BSR & Associates LLP and Deloitte Haskins & Sells LLP—the former auditors of IL&FS Financial Services—for their role in financial irregularities has made